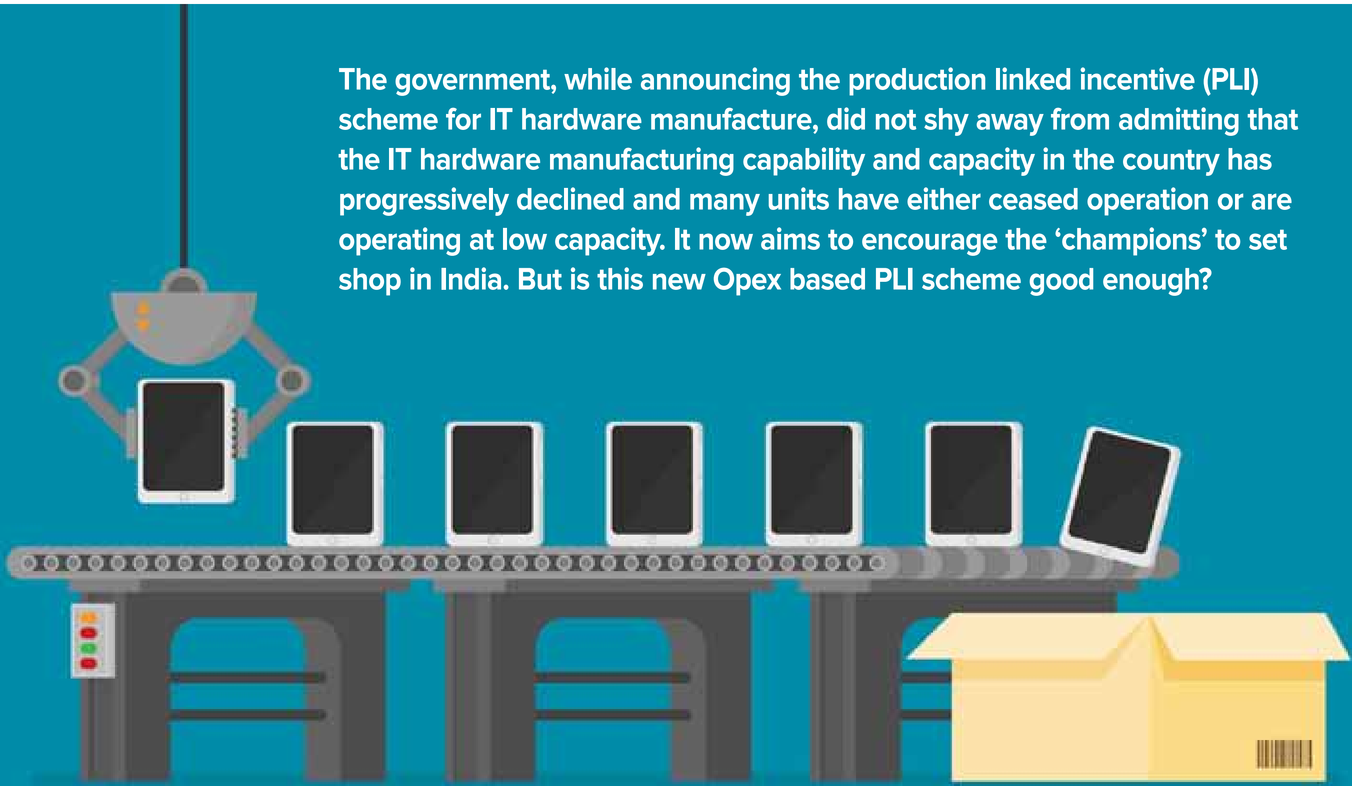
Capex Vs Opex Approach Of The PLI For IT Hardware Manufacture

The government, while announcing the production linked incentive (PLI) scheme for IT hardware manufacture, did not shy away from admitting that the IT hardware manufacturing capability and capacity in the country has progressively declined and many units have either ceased operation or are operating at low capacity. It now aims to encourage the 'champions' to set shop in India. But is this new Opex based PLI scheme good enough?



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Come coronavirus and it was immediately clear that the world will not be the same for a long time. People started working from home, which led to an immediate spike in the demand for products like laptops, tablets, and personal computers. The increased demand for these products, clubbed with more and more people working from home, meant increased load on servers, and hence came a spike in the demand for these as well. International Data Corporation (IDC), in one of its reports, notes that the market size for laptops in India was approximately 75 lakh (7.5 million) units in 2019-20 valued at 33,950 crore rupees, which amounts to approximately US$4.52 billion @ 1US$ = ₹75. Similarly, the market size for tablets was around 24 lakh (2.4 million) units, valued at 3,500 crore rupees (US$0.47